

Paradiem

The Morning Brief

AUGUST 20, 2026

Yield Relief

Treasury buyback expansion doubles long-end demand and sends the 30-year yield down 10bp; healthcare, precious metals, and crypto lead a bifurcated tape into WMT, jobless claims, and Philly Fed Thursday.

S&P 500 (WED)	TLT (20Y WED)	XLV (HEALTHCARE WED)	BITCOIN (IBIT WED)	FEAR & GREED
\$769.06 · ↑0.21%	\$83.02 · ↑1.67%	\$175.68 · ↑3.51%	\$38.78 · ↑5.96%	62 · Crypto endpoint

SECTION 01

Markets — Treasury Buyback Expansion Caps the Long End and Flips the Tape into a Duration Bid

DOUBLED LONG-END BUYBACK ANNOUNCEMENT REVERSES THE TERM-PREMIUM TRADE MID-SESSION

Per CNBC, Bloomberg, and Yahoo Finance coverage of Wednesday’s Treasury refunding update, the Treasury Department announced it will at least double the size of its buybacks of long-dated government debt (10-year to 30-year), a step CNBC and Bloomberg framed as a notable expansion and the first material lean against the term-premium re-pricing that had driven the 30-year yield near 5.31% early in the week. Per Bloomberg and CNBC coverage of the Wednesday tape, the long-end response was immediate: the 30-year yield closed down approximately 10 basis points to roughly 5.18% and the 10-year yield eased approximately 5 basis points to roughly 4.65%. Per data drop, TLT closed ↑1.67% at \$83.02 — a notable single-session duration bid and the mechanical mirror of the long-end retracement. Per data drop, the equity composition read the intervention cleanly: SPY closed ↑0.21% at \$769.06, DIA ↑0.26% at \$534.27, and the Russell 2000 ↑0.50% at \$301.72, while QQQ closed ↓0.20% at \$716.08 as the chip complex continued to work through Tuesday’s positioning reset. The composition — long end firmly bid, small caps and cyclicals recovering, mega-cap tech mixed — sorted the tape by duration-sensitivity to the intervention rather than by growth prospects, and materially reframes the setup into Jackson Hole (Aug 27–29) and NVDA (Aug 26).

TLT (20Y WED)	\$83.02 · ↑1.67%
30Y YIELD (WED)	~5.18% · ↓~10bp on buyback news
XLV (HEALTHCARE)	↑3.51% · Sector leader
AEM (WED)	\$207.72 · ↑11.12%
ETHA / IBIT (WED)	↑9.97% / ↑5.96%
WMT Q2 (THU)	Pre-Open · ~\$0.74 EPS est

SECTOR COMPOSITION CONFIRMS THE DURATION-REVERSAL FRAME — HEALTHCARE, MATERIALS, DISCRETIONARY BID

Per data drop, the Wednesday sector tape sorted along the duration-reversal axis: XLV led at ↑3.51%, XLY ↑1.92%, XLB ↑1.43%, XLP ↑1.12%, XLRE ↑0.81%, and XLC ↑0.76%; on the other side, XLK closed ↓1.07%, XLI ↓0.88%, XLF ↓0.62%, and XLE essentially flat at ↓0.16%. The composition — long-duration cash-flow leaders bid and short-duration cyclicals mixed — is the mechanical inverse of the Monday and

Tuesday tape and confirms the buyback announcement acted as the primary driver. Per Reuters and CNBC coverage of Wednesday's tape, Moderna doubled on a positive melanoma vaccine trial readout, providing an idiosyncratic tailwind that amplified the sector-level move. Per data drop, the FCI growth sleeve carried the duration reversal: MRVL closed $\uparrow 9.85\%$ at \$237.27 (reversing Tuesday's $\downarrow 7.82\%$ mark), NOW $\uparrow 6.45\%$ at \$127.20, HOOD $\uparrow 4.63\%$ at \$95.77, FCX $\uparrow 4.18\%$ at \$69.09, TOL $\uparrow 4.00\%$ at \$148.58, and MARA $\uparrow 7.70\%$ at \$9.65. Per data drop, the FCI dividend sleeve absorbed the composition with SPGI $\uparrow 2.06\%$ at \$426.66, ADP $\uparrow 2.94\%$ at \$277.22, SYK $\uparrow 2.60\%$ at \$339.98, GPC $\uparrow 2.01\%$ at \$134.54, and CEG $\uparrow 2.75\%$ at \$274.17. Per data drop, the notable dividend-sleeve outliers were LMT $\downarrow 2.97\%$ at \$589.15 (per Benzinga coverage of Senator Warren's public criticism of defense shareholder payouts) and STLD $\downarrow 7.53\%$ at \$231.01 (the widest single-name drawdown in the sleeve on the session).

THURSDAY SEQUENCE: WMT PRE-OPEN, JOBLESS CLAIMS AND PHILLY FED 8:30, ADI SOLD-THE-NEWS, PRECIOUS METALS SURGE

The Thursday cash session opens with a stacked catalyst window. Per Walmart IR coverage cited by CNBC, Yahoo

Finance, and TradingKey previews, WMT reports fiscal Q2 pre-open with consensus around \$0.74 EPS on approximately \$186.8B revenue and management expected to update FY26 guidance; per TradingKey coverage, options traders are pricing an approximate 4.6% implied move. Per Investing.com preview coverage, initial jobless claims for the week ended August 15 publish at 8:30 AM ET alongside the Philadelphia Fed manufacturing survey for August at 8:30 AM ET, with consensus for the Philly Fed near +6.8 versus July's outsized +41.4 print per official Philadelphia Fed MBOS coverage. Per data drop, ADI closed $\downarrow 0.89\%$ at \$373.26 despite a clean Q3 beat (adjusted EPS \$3.45 vs \$3.37 estimate on \$4.02B revenue, +40% YoY per Stocktitan and Yahoo Finance coverage) and constructive Q4 guidance (\$4.3B revenue $\pm$ \$0.1B, adjusted EPS \$3.86 $\pm$ \$0.15) — a sold-the-news read that reflects the positioning reset noted in Tuesday's brief rather than a fundamentals critique. Per data drop, the precious-metals complex surged with GLD $\uparrow 3.84\%$ at \$413.84 and SLV $\uparrow 4.47\%$ at \$60.01 — the reversal of Tuesday's cross-margin liquidation that had briefly broken the risk-off/precious-metals pairing. AEM led the FCI tape at $\uparrow 11.12\%$ at \$207.72, the widest single-name gain in the universe on the session.

A term-premium intervention tends to reverse a duration trade faster than the fundamentals that created it. Simplicity Over Complexity.

Geopolitics — Hormuz Stalemate Persists as China's Russian-Crude Bid Reroutes the Global Barrel

HORMUZ SHIPPING UNCHANGED; US WARNS OF ECONOMIC CONSEQUENCES FOR ANY COUNTRY SUPPORTING IRAN

Per Reuters coverage cited in the data drop headlines, Hormuz shipping activity remained unchanged Wednesday amid the ongoing US-Iran stalemate, with transit counts holding in single digits against the roughly 130 daily crossings recorded before the conflict. Per Reuters coverage cited in the data drop, President Trump publicly warned of economic consequences for any country that supports Iran — framing consistent with the Bessent isolation package the Treasury has been signaling detail on this week and the South Korea investment-pressure reporting cited in the prior brief. Per Reuters coverage cited in the data drop, oil gained on Middle East supply concerns amid the impasse in the US-Iran war. Per data drop, the crude tape carried a modest friction print with USO closing $\uparrow 0.19\%$ at \$130.91 and BNO $\uparrow 0.40\%$ at \$52.32 — small marks that reflect the market pricing a slow-grind Hormuz outage rather than either a rapid reopening or a fresh escalation. For the FCI energy sleeve (CVX flat at \$205.76, OKE $\downarrow 1.09\%$ at \$96.01, CNX $\uparrow 1.27\%$ at \$35.82 per data drop), the composition into Thursday remains the same: the physical-friction floor is intact, but the sleeve traded net-flat on the session as the buyback-driven duration reversal pulled flow toward long-duration assets and away from the near-term energy expression.

CHINA BOOSTS RUSSIAN CRUDE IMPORTS; INDIA'S REFINERS SQUEEZED ON THE BARREL REROUTING

Per Reuters coverage cited in the data drop headlines, China boosted imports of Russian crude, stymieing India's refiners — a rerouting of the global barrel that reads through the enforcement perimeter Bessent has been signaling and complicates the secondary-sanction case Treasury is preparing. Per Reuters coverage cited in the data drop, Chinese fuel exports have been edging back toward pre-war levels as Beijing eases restrictions, and China's absorption of displaced Russian barrels reduces the marginal supply Beijing would need to draw from Iranian teapot-refiner channels — a variable that could either narrow or widen the operative perimeter of the Bessent detail depending on how Treasury frames the substitution effect. Per Reuters coverage cited in the data drop, Israel warned Turkey against “dangerous adventures” in Syria as Damascus denied any Turkish force build-up planned — a second-front diplomatic friction with material read-through to the regional risk premium that the crude complex has been pricing since the Hormuz reimposition. For FCI positioning, the compound read — Hormuz friction holding, China absorbing Russian barrels, Israel-Turkey friction widening — keeps the energy sleeve (CVX, CNX, OKE) as the long-form hedge on the geopolitical

surround even as the near-term crude tape trades in a tight range.

TRUMP CRYPTO MEETING FRAMED ALONGSIDE THE DIGITAL-ASSET BID; REGULATORY FRAMEWORK IN MOTION

Per Benzinga coverage cited in the data drop, President Trump is scheduled to meet with cryptocurrency executives at the White House as US financial regulators prepare to advance a framework for certain digital assets — a policy signal that framed Wednesday's digital-asset surge alongside the mechanical rate-off bid. Per data drop, IBIT closed $\uparrow 5.96\%$ at \$38.78 and ETHA $\uparrow 9.97\%$ at \$15.88, with the bitcoin-miner complex participating (MARA $\uparrow 7.70\%$ at \$9.65, HUT $\uparrow 1.60\%$ at \$82.08). Per Reuters coverage cited in the data drop headlines, US officials warned that Siemens devices can be hacked amid concerns Iran is breaching US water plants — a cyber-adjacent friction that continues to read through the enforcement and infrastructure-protection posture. For FCI positioning, the digital-asset expression through IBIT and ETHA carried the largest single-session gains in the sleeve and continues to read cleanly on the intersection of the rate signal and the regulatory-framework signal — both of which turned favorable on the session.

On Our Radar

1. WMT Pre-Open, Jobless Claims and Philly Fed 8:30 AM ET — The Consumer-Read Trifecta of the Week. Per CNBC, Yahoo Finance, and TradingKey preview coverage, Walmart reports fiscal Q2 pre-open with consensus around \$0.74 EPS on approximately \$186.8B revenue; per TradingKey coverage, options traders are pricing an approximate 4.6% implied move. Per Investing.com preview coverage, initial jobless claims for the week ended August 15 publish at 8:30 AM ET and the Philadelphia Fed manufacturing survey for August publishes concurrently, with consensus for the Philly Fed near +6.8 versus July's outsized +41.4 print per official Philadelphia Fed MBOS coverage — a sharp expected step-down that would carry read-through to the industrial-cycle setup Chair Warsh will address at Jackson Hole. The combined read frames the consumer-and-manufacturing setup Chair Warsh will inherit into Jackson Hole (Aug 27–29) and complements the retailer sequence that already saw HD beat, TGT deliver approximately +3.8% comps, and LOW trim FY26 guidance to approximately \$12.25 adjusted EPS per Q2 filings cited by CNBC, Floor Daily, and Qz coverage. For FCI positioning, WMT's digital-advertising and third-party marketplace commentary carries the highest read-through to the discretionary-adjacent dividend sleeve, and any softness in low-end household commentary would reinforce the labor-softening thesis the July NFP miss and the retail-sales miss have already put on the tape.

2. FOMC Minutes Composition — Hawkish Camp Extended Beyond the Three Dissenters, September Odds Rose Toward ~65% Hold. Per Newsquawk, FXStreet, and Qz coverage of Wednesday afternoon's release, the July 28–29 FOMC minutes confirmed the 9–3 vote to hold the funds rate at 3.50–3.75% with three regional presidents (Hammack, Kashkari, Logan) preferring a quarter-point hike. Per the same coverage, participants beyond the three dissenters flagged that further tightening would likely be necessary if inflation did not decline and that current financial conditions might not be tight enough — language that materially extends the hawkish camp's footprint in the internal deliberation. Per FXStreet coverage, September hold odds moved toward approximately 65% versus roughly 50/50 in the days before the release. Per Newsquawk coverage, Chair Warsh raised the discussion of reducing FOMC meetings from eight to six annually — a procedural signal that markets will parse in his Jackson Hole keynote (Friday morning August 28). For FCI positioning, the composition confirms the term-premium re-pricing was a policy read rather than a supply read, which reinforces the significance of the Treasury buyback intervention noted in the Markets section.

3. Precious Metals Surge — AEM ↑11.12%, SLV ↑4.47%, GLD ↑3.84% Reverse Tuesday's Cross-Margin Break. Per data drop, the precious-metals complex surged Wednesday with SLV closing ↑4.47% at \$60.01, GLD ↑3.84% at \$413.84, and Agnico Eagle (AEM) leading the FCI tape at ↑11.12% at \$207.72 — the widest single-name gain in the FCI universe on the session. The reversal follows Tuesday's GLD ↓1.71% / SLV ↓3.58% cross-margin liquidation break and confirms the risk-off/precious-metals pairing has reasserted in a session where the rate signal turned favorable. Per Benzinga coverage cited in the data drop, Aura Minerals greenlit a \$382M Era Dorada underground gold project in Guatemala with estimated 111,000 oz annual output beginning first-half 2028 — an incremental data point on the physical-supply side of the precious-metals complex. For FCI, AEM's move continues to read cleanly on the physical-world thesis the growth sleeve is built around.

4. Digital-Asset Surge — ETHA ↑9.97%, IBIT ↑5.96%, MARA ↑7.70% on Trump Meeting Signal and the Rate-Off Bid. Per data drop, IBIT closed ↑5.96% at \$38.78 and ETHA ↑9.97% at \$15.88 — both among the strongest single-session prints in the digital-asset ETF sleeve. Per Benzinga coverage cited in the data drop, the digital-asset move framed alongside President Trump's scheduled meeting with cryptocurrency executives at the White House and US regulators preparing to advance a framework for certain digital assets. Per data drop, the bitcoin-miner complex participated with MARA ↑7.70% at \$9.65 and HUT ↑1.60% at \$82.08 — a reversal from Tuesday's miner drawdown (MARA ↓7.77%, HUT ↓8.23%) that captures the two-way pattern of the rate-sensitive miner-equity beta. For FCI, the digital-asset ETF sleeve (IBIT, ETHA) sits at the intersection of the rate signal and the regulatory-framework signal, both of which turned favorable on the session.

5. STLD ↓7.53% — The Widest Single-Name Dividend-Sleeve Drawdown on a Bid Session. Per data drop, Steel Dynamics closed ↓7.53% at \$231.01 Wednesday — the widest single-name drawdown in the FCI dividend sleeve on a session where the broader dividend sleeve traded net-higher. Per ChartMill coverage cited in the data drop, STLD was among the top S&P 500 movers in Wednesday's session with unusual-volume activity. The move sits against a Section 338 tariff backdrop (50% Canadian duties effective August 19 per Federal Register coverage cited in prior briefs) that would ordinarily benefit US steel capacity, suggesting the drawdown reads through idiosyncratic mill-cost or contract-pricing factors rather than the broader trade-policy vector. Per data drop, the FCI industrial and materials adjacencies were mixed with CAT ↓2.94% at \$816.15 and FCX ↑4.18% at \$69.09 — the composition confirms the Wednesday tape was primarily a duration-reversal event with idiosyncratic materials dispersion around it.

6. Carson's SPY \$645.80 Support Remains Active; No Levels Hit Wednesday.

Per levels.json, Carson's active SPY support at \$645.80 remained untouched through Wednesday's \$768.10–\$772.47 SPY intraday range per data drop and now sits approximately 16.0% below the current tape. No active resistance levels are on the book following the April 14 breakout of the \$691.90–\$693.20 major zone. With WMT pre-open Thursday, jobless claims and Philly Fed at 8:30 AM ET Thursday, ATAT reporting Thursday, BABA and DE reporting Thursday, NVDA reporting Wednesday August 26, and Jackson Hole August 27–29 with Chair Warsh's keynote Friday August 28, the pre-committed FCI deployment discipline (70% of reserves at –25% drawdown, remaining 30% at –40%) continues to frame reactive positioning against any single-session gap through the sequence. Note: the data drop Fear & Greed reading of 62 "Greed" reflects the CNN endpoint falling back to the crypto index; the CNN stock-market F&G print for the session was not independently verified before this brief and should be treated as approximate.

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